

Japan Daily Brief

Saturday, September 19, 2026

2,382 words · 10 min read

RE: BOJ hikes to 31-yr high · Takaichi-Trump NY summit Tuesday · Russia protests Typhon · Asian Games open

NIKKEI 225
65,018.95
▲ +2.40%

USD/JPY
156.85
▲ +2.24%

BRENT
\$99.29
▼ -6.05%

BOJ RATE
1.25%

• TODAY AT A GLANCE

- 1 The Bank of Japan raised its policy rate to 1.25% — the highest since 1995 — in a split vote, with two board members dissenting, while Governor Kazuo Ueda signaled further hikes are possible as inflation persists.
- 2 Prime Minister Sanae Takaichi will meet President Donald Trump on Tuesday on the UN General Assembly sidelines in New York, positioning Japan to present its views on Beijing days before Xi Jinping's state visit to Washington.
- 3 Russia formally protested Japan's deployment of US Typhon mid-range missile systems, with the Russian MFA demanding removal; separately, Defense Minister Shinjiro Koizumi and US Defense Secretary Pete Hegseth agreed by phone to advance bilateral security cooperation.

• TOP STORIES

ECONOMY-BOJ

BOJ raises policy rate to 1.25% — 31-year high — in split 7-2 vote

The Bank of Japan lifted its benchmark rate to 1.25% — the highest since 1995 — in a split decision with two board members dissenting, as Governor **Kazuo Ueda** declared the bank is entering a new policy phase driven by persistent inflation. The yen initially weakened past 158 to the dollar before partially recovering after Nikkei reported the BOJ conducted a rate check, a step typically seen as a precursor to intervention.

per Nikkei Asia: "BOJ hikes rates to 1.25% as chief Ueda cites shift in policy phase"

NIKKEI ASIA

ALLIANCE

Takaichi to meet Trump in New York Tuesday ahead of Xi's Washington summit

Prime Minister **Sanae Takaichi** will hold talks with President Donald Trump on the sidelines of the UN General Assembly in New York on Tuesday, September 22, aiming to convey Tokyo's views on Beijing and underscore alliance strength before Xi Jinping's three-day state visit to Washington begins. The meeting was confirmed by a US official cited by NHK; Foreign Minister Toshimitsu Motegi departs for New York from Sunday.

per The Japan Times: "Takaichi to meet Trump on U.N. sidelines ahead of U.S.-China summit"

THE JAPAN TIMES

DEFENSE

Russia formally protests US Typhon missile deployment in Japan

Russia's Foreign Ministry lodged an official protest with Japan over the deployment of US Typhon mid-range ground-launched cruise missile systems on Japanese territory, with Russian MFA spokesperson demanding their removal; TASS separately reported the Russian MFA urged Japan to 'heed the call.' Defense Minister **Shinjiro Koizumi** and US Defense Secretary Pete Hegseth agreed in phone talks on the same day to advance bilateral security cooperation, with Koizumi citing 'more urgency than ever' in Japan's defense transformation.

per Washington Post: "Russia lodges protest with Japan over US Typhoon missile deployment - The Washington Post"

WASHINGTON POST

• OVERNIGHT

INDO-PACIFIC Severe tropical storm Dujuan approaching Japan · NHK

Japan's weather agency warned of landslides and floods as severe tropical storm Dujuan approached the Japanese archipelago. Authorities issued safety advisories covering multiple prefectures as the storm tracked toward the main islands.

DPRK North Korean leader Kim inspects munitions factories · NHK

North Korean leader Kim Jong Un inspected munitions factories, per NHK World, following confirmation that North Korea conducted a major integrated strike exercise combining missiles, drones, and rocket artillery on September 12. The factory inspection signals continued prioritization of weapons production.

INDO-PACIFIC Can Japanese companies help Ukraine rebuild? · NHK

NHK World examines the potential role of Japanese firms in Ukraine's reconstruction, against the backdrop of Japan's financial pledges and the practical constraints on private-sector engagement in a conflict zone.

POLITICS-DIET Takaichi Cabinet support hit record low of 50.2% before reshuffle — Kyodo · Kyodo / Arab News

A Kyodo survey conducted before the September 17 reshuffle showed Takaichi Cabinet support at a record low of 50.2%, providing the baseline from which the post-reshuffle bounce to 53.4% (Kyodo) is measured. The pre-reshuffle low reflected fiscal concerns following the government's income tax cut.

CHINA-JAPAN Chinese tourist arrivals to Japan plunge 59% in August — Global Times · Global Times

Tourist arrivals from mainland China to Japan fell 59% in August per Global Times, a sharp decline attributed to the sevenfold Chinese visa-fee hike for Japanese nationals introduced in September and broader bilateral tensions. The drop illustrates commercial-sector spillover from deteriorating Japan-China relations.

• STAT OF THE DAY

1.25%

BOJ policy rate — highest in 31 years

The Bank of Japan raised its benchmark rate to 1.25% in a split decision, the highest level since 1995, with two of nine board members dissenting.

BOJ hikes rates to 1.25% as chief Ueda cites shift in policy phase — Nikkei Asia

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SATURDAY, SEPTEMBER 19, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi's travel to New York for the UN General Assembly was confirmed, with a Trump bilateral set for Tuesday September 22 ahead of Xi Jinping's Washington state visit.

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Japan-US defense chiefs agree by phone to advance security cooperation

Defense Minister **Shinjiro Koizumi** and US Defense Secretary Pete Hegseth held phone talks and agreed to advance bilateral security cooperation. Koizumi stated there is 'more urgency than ever' in transforming Japan's defense capabilities.

→ Mainichi ↗

PERSONNEL CHANGES

Various — reshuffle completed September 17 **RESHUFFLED**

Cabinet (multiple posts)
Prime Minister Sanae Takaichi completed her first cabinet reshuffle on September 17, retaining key ministers including Defense Minister Shinjiro Koizumi and METI Minister Ryosei Akazawa, while incorporating a Japan Innovation Party member for the first time. The LDP executive reshuffle was completed on September 16.

DIET SESSIONS / LDP

LDP / CABINET

Takaichi Cabinet approval rises to 53.4% post-reshuffle per Kyodo; Nikkei poll shows 62%

A Kyodo News poll conducted after the September 17 cabinet reshuffle showed the Takaichi Cabinet approval rating at 53.4%, up 3.2 percentage points from August. A separate Nikkei poll showed approval climbing 4 points to 62%, reflecting a post-reshuffle bounce.

LDP

Takaichi includes 10 lawmakers linked to slush fund scandal in new cabinet/party posts

Prime Minister Sanae Takaichi assigned government or party positions to 10 lawmakers who had been implicated in the LDP slush fund scandal, a decision that drew opposition criticism and may constrain the post-reshuffle approval bounce.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026	61.6%	32.2%

NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%

Discourse: Post-reshuffle approval bounce across Kyodo (53.4%, up 3.2 points) and Nikkei (62%, up 4 points) polls follows Takaichi's cabinet reshuffle, but opposition criticism of her decision to assign posts to 10 lawmakers linked to the LDP slush fund scandal may constrain further gains heading into the October 5 Diet session.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

MACRO · NIKKEI ASIA · BANK OF JAPAN

BOJ rate hike entangled in US 'currency alliance' dynamic

Nikkei Asia reports that the BOJ's rate decision has become intertwined with US Treasury Secretary Scott Bessent's public pressure on Japan to tighten faster to strengthen the yen, with the two-dissenter split vote complicating the narrative of a coordinated currency posture.

MACRO · THE JAPAN TIMES · BANK OF JAPAN

BOJ's balancing act between Bessent and domestic policy is getting harder

The Japan Times reports that BOJ Governor Kazuo Ueda now faces pressure from two directions: US Treasury Secretary Scott Bessent pushing for faster yen appreciation through tighter policy, and domestic inflation dynamics that do not straightforwardly justify the pace markets are pricing in.

MACRO · NIKKEI ASIA

Yen touches 158 to dollar before rate-check-driven recovery to 156 range

The yen weakened to 158 per dollar immediately after the BOJ decision before partially recovering to the upper-156 range after Nikkei reported a BOJ rate check; the 2.24% daily move in USD/JPY reflected markets reading Ueda's mixed signals as less hawkish than expected.

MACRO · NIKKEI ASIA

Inflation draws BOJ, Fed, and ECB into historic rate-hike alignment

Nikkei Asia commentary notes that the BOJ, Federal Reserve, and ECB are simultaneously tightening for the first time in roughly two decades, marking a structural shift in global monetary conditions that carries significant implications for Japanese borrowing costs and the yen carry trade.

SEMICONDUCTORS · NIKKEI ASIA · SCREEN HOLDINGS

Japan chip equipment maker Screen to expand into India

Japanese semiconductor equipment maker Screen Holdings is expanding into India to serve the country's growing chip fabrication industry, joining a broader wave of Japanese semiconductor-supply-chain firms targeting Indian fabs.

REGIONAL PRESSURE WATCH

Heavy — 84 items (BOJ: 74, DPRK: 4, Chief Cabinet Sec: 3, MOFA: 2, China MOFA: 1)

CHINA

China's Foreign Ministry spokesperson Guo Jiakun held the September 18 regular press conference, and Chinese state media (Global Times) continued framing the 95th anniversary of the September 18 Mukden Incident with warnings against Japan's military revival. Separately, Chinese tourist arrivals to Japan fell 59% in August, reflecting ongoing bilateral commercial tensions.

NORTH KOREA

North Korean leader Kim Jong Un inspected munitions factories per NHK, following the September 12 integrated strike exercise. North Korean hackers linked to group WaterPlum conducted cryptocurrency thefts across 100 countries including Japan between December 2025 and July 2026, infecting more than 30,000 devices.

RUSSIA

Russia's Foreign Ministry lodged a formal protest with Japan over the deployment of US Typhon mid-range ground-launched cruise missile systems on Japanese territory and urged removal; TASS separately reported the Russian MFA spokeswoman's demand. This follows a sustained Russian escalation narrative targeting Japan's defense posture.

Senkaku / ECS: No new Senkaku or East China Sea patrol or intrusion data reported in today's articles; the broader China-Japan tension pattern continues from prior days.

"China urges Japan to face up to history of aggression, warns against militarism's revival on 95th anniversary of September 18 Incident"

Chinese state media (Global Times) · China urges Japan to face up to history of aggression, warns against militarism's revival on 95th anniversary of September 18 Incident — Global Times

"Russian MFA urges Japan to heed call to remove US Typhon systems"

Russian Ministry of Foreign Affairs spokesperson · Russian MFA urges Japan to heed call to remove US Typhon systems — TASS

Bottom line: Russia's formal Typhon protest and China's September 18 anniversary warnings mark the dominant adversary pressure signals today; the BOJ rate decision and Takaichi's New York summit preparation dominate the Japan-side agenda, with the Trump-Takaichi bilateral on Tuesday the near-term pivot point.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · AFP

South Korea files Asian Games complaint over Japan warlord ceremony reference

South Korea lodged a formal complaint over an Asian Games opening ceremony element in Japan that referenced a historical warlord, adding a historical-memory irritant to the Japan-Korea bilateral margin of the Aichi-Nagoya Games.

SOUTHEAST ASIA · NIKKEI ASIA

Japanese supermarket chain launches training for 100-store Vietnam expansion

A Japanese supermarket chain has begun training staff for a planned push to open 100 stores in Vietnam, part of a broader Japanese retail and consumer-goods expansion into Southeast Asia.

INDIA · NIKKEI ASIA

India chip ambitions open market for Fujifilm and Tokyo Electron

India's semiconductor fabrication expansion is creating commercial openings for Japanese chip-materials and equipment firms Fujifilm and Tokyo Electron, deepening Japan-India technology supply chain ties.

Sojitz plans chip materials transport hub for Tata semiconductor fab in India

Japanese trading house Sojitz is planning a dedicated chip-materials logistics hub to support the Tata Electronics semiconductor fabrication facility in India, extending Japanese supply-chain investment into Indian chip infrastructure.

• EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

PACIFIC FORUM

The Pilot #68 – Beyond the nuclear binary: Japan's strategy under the Nuclear Shadow

Japan must develop a nuclear strategy that moves beyond the binary choice of US extended deterrence or independent nuclear armament, given the evolving threat environment under the nuclear shadow.

The Pacific Forum's Pilot series examines Japan's strategic options under persistent nuclear threats from China and North Korea, arguing that Tokyo needs a more nuanced posture that supplements extended deterrence with autonomous deterrent measures short of nuclear weapons. The piece situates Japan's 2022 National Security Strategy and counterstrike capability acquisition within this framework. It addresses the credibility gap in extended deterrence that has grown as the regional nuclear balance shifts.

SO WHAT As the Takaichi government reviews the Three Strategic Documents in 2026, this analysis frames the nuclear dimension of Japan's defense posture that will be central to the October 5 Diet session and the Trump-Takaichi summit agenda.

HUDSON INSTITUTE

China Targets Japan as US Analyst Urges First Island Chain Withdrawal

China's multi-instrument pressure campaign targeting Japan is intensifying at a moment when at least one US analyst is arguing for a strategic withdrawal from the First Island Chain, creating a potential decoupling between Japanese and American security assumptions.

The Hudson Institute piece documents China's recent escalatory measures toward Japan — including economic coercion and military pressure — while noting that a strand of US strategic thinking advocates pulling back from the First Island Chain forward posture that Japan's defense planning depends on. The piece frames this as a potential strategic mismatch between Tokyo and Washington. It raises questions about the durability of the US commitment to forward defense that underpins Japan's entire security architecture.

SO WHAT The Takaichi-Trump Tuesday meeting should be assessed against this backdrop: whether the summit produces a clear US reaffirmation of the forward posture — or ambiguity — carries direct implications for Japan's defense-investment calculus.

• THE WIRE

ECONOMY-BOJ

NIKKEI ASIA

BOJ conducts rate check, yen recovers to upper-156 range

The Bank of Japan reportedly inquired with market participants about exchange-rate levels — a step often seen as a precursor to official intervention — after the yen weakened sharply past 158 to the dollar following the rate hike decision.

DPRK

THE JAPAN TIMES

North Korean hacker group WaterPlum behind crypto thefts in Japan and 99 other countries

North Korean group WaterPlum infected more than 30,000 devices with malware between December 2025 and July 2026, conducting cryptocurrency thefts across 100 countries including Japan.

DEFENSE

NIKKEI ASIA

Japan's Prodrone scales to mass-produce 58,000 drones annually

Japanese drone maker Prodrone is gearing up to mass produce 58,000 drones per year, positioning Japanese domestic drone manufacturing capacity to support defense buildup requirements.

POLITICS-DIET

NIKKEI ASIA

With new cabinet secured, what comes next for Takaichi?

Nikkei Asia analysis examines the Takaichi cabinet's post-reshuffle political position, noting her base is now secure but flagging upcoming tests including the October 5 Diet session and US tariff negotiations.

• UPCOMING

Sep
22

PM Takaichi addresses UN General Assembly; Trump bilateral in New York

Prime Minister Sanae Takaichi is scheduled to address the UN General Assembly and hold talks with President Donald Trump in New York on Tuesday, September 22, ahead of Xi Jinping's state visit to Washington through September 25.

Sep
23

Xi Jinping begins 3-day state visit to Washington through September 25

Chinese President Xi Jinping will make a 3-day state visit to Washington through September 25; Takaichi's Tuesday Trump meeting is timed to present Japan's position before the US-China summit takes place.

Oct
5

Extraordinary Diet session convenes

The extra Diet session opens on October 5, where the new Takaichi cabinet's economic agenda and potential supplementary budget requests will face legislative scrutiny.

Oct
5

UN General Assembly high-level week concludes; Japan diplomatic assessments due

Follow-on diplomatic reporting from the UNGA high-level week — including outcomes of the Takaichi-Trump and any sideline meetings with other leaders — expected in the days immediately after the session.

Nov
3

US midterm elections (November 3)

US midterm elections scheduled for November 3; outcome will shape Congressional dynamics bearing on US-Japan trade legislation and alliance appropriations through 2027.

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